

COUNTY OF VANCE

Absent: None.

Chairman Archie B. Taylor, Jr. stated that the purpose of the special meeting was to adopt the FY 2019-20 Budget Ordinance, approve the Salary Progression Policy, and convene the Water District Board to adopt the FY 2019-20 Water District Budget Ordinance.

Adoption of FY 2019-20 Budget Ordinance. Staff has prepared separate budget ordinances for the county budget and the water district budget. The water district budget will be approved under the Water District Board.

- The total general fund budget is \$48,537,425 with \$1,249,853 required from the fund balance to balance the budget. All funds combined - \$59,438,655.
- This budget does not include increasing the general fund tax, the solid waste household fee, or the water fees. It does include raising the fire tax 2.5 cents to 8.9 cents per \$100.
- Public safety and rural fire protection is one of the main priorities in this budget by adding part-time positions to the volunteer fire departments, as well as the purchase of radios for public safety departments. An increase in Sheriff's Office staffing is also included.
- The budget addresses employee retention and pay through a salary progression plan, but does not include a cost of living adjustment (COLA).
- The budget addresses broadband needs throughout the county which will provide economic development opportunities for residents and businesses.
- Major investments in School Capital is also included at just over \$5.2 million.

Motion was made by Commissioner Gordon Wilder to approve the FY 2019-20 Budget Ordinance as presented. This motion was seconded by Commissioner Leo Kelly, Jr. and vote was ayes – four (4); noes – three (3), with the dissenting votes being cast by Commissioners Brummitt, Faines and Hester.

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BE IT ORDAINED by the Board of Commissioners of Vance County, North Carolina, meeting in special session this 17th day of June, 2019, that revenues and expenditures

are hereby appropriated for the operation of Vance County government and its related activities for the fiscal year beginning July 1, 2019, and ending June 30, 2020, according to the following summaries and schedules:

SECTION 1. GENERAL FUND (10)

The following amounts are hereby appropriated in the General Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized by Departments:

Department	Amount
410 - Governing Body	279,718
430 - Elections	303,489
440 - Administration/Finance	931,258
450 - Tax Department	692,690
470 - Legal Services	67,300
480 - Register of Deeds	270,331
490 - Information Technology	322,281
491 - Economic Development Commission	204,675
500 - County Administration Building	205,308
501 - County Office Building	55,642
502 - Henry A. Dennis Building	65,356
504 - Senior Center	50,409
505 - Courthouse	505,296
506 - Social Services Building	112,007
510 - Sheriff's Office	4,693,472
514 - Justice Assistance Grant	7,100
517 - Sheriff's Interdiction Program	15,000
518 - School Resource Officers	306,173
519 - New DSS Building - EJ	100,000
520 - Jail	3,665,618
525 - Environmental Services	80,000
530 - EMS	2,959,496
531 - Fire	1,290,052
532 - Fire Marshal	87,529
541 - Planning & Development	566,853
555 - Central Services	1,249,301
576 - Soil & Water Conservation	138,606
580 - Mental Health	274,151
590 - Public Health	737,082
599 - Animal Control	460,374
600 - Contributions to Other Agencies	1,961,986
601 - Smart Start Program - Cooperative Extension	76,074
604 - Cooperative Extension - 4-H	15,500
605 - Cooperative Extension Services	163,912
607 - Veterans Service	121,790
610 - Social Services	8,969,647
611 - Program on Aging	693,063
613 - DSS - Vending/Foster Care Contributions	4,000
615 - Nutritional Meals Program	114,936
619 - Youth Services - NYPUM	159,658
620 - Friends of Youth	71,154
621 - 911 Emergency Communications	1,495,603
622 - Farmers Market	31,809
681 - Schools - Current Expense	8,432,440
Schools - Capital Outlay	807,000
683 - Community College - Current Expense	1,138,917
Community College - Capital Outlay	41,220
Nursing Center - Maria Parham Hospital	12,680

696 - Transfers to Other Funds	3,429,469
999 - Contingency	100,000
General Fund Expenditures - Grand Total	48,537,425

It is estimated that the following revenues will be available in the General Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Department	Amount
301 - Ad Valorem Taxes	24,774,024
315 - Vehicle Rental Taxes	30,000
325 - Privilege Licenses	3,000
329 - Investment Earnings	23,000
332 - Animal Control Fees	72,600
333 - Cooperative Extension Revenues	11,500
334 - 4-H Revenues	5,500
342 - Planning Fees	24,750
345 - Local Government Sales Tax	9,087,572
346 - State Revenues	166,600
347 - ABC Revenues <i>*ABC Revenues are to be used for the treatment of alcoholism or substance abuse, or for research or education on alcohol or substance abuse</i>	90,000
348 - DSS State Revenues	5,999,628
349 - DSS Federal Revenues	423,721
350 - DSS Local Revenues	64,500
353 - Federal Revenues	59,000
356 - Register of Deeds Revenues	257,200
357 - Inspection Fees	320,000
358 - Jail Revenues	214,200
359 - Sheriff Revenues	264,000
360 - Ambulance Revenues	1,725,000
367 - Refunds & Reimbursements	364,580
369 - Revenue from City of Henderson	962,294
370 - Miscellaneous Revenues	1,039,248
380 - Grants	248,040
397 - Transfers from Other Funds	1,057,615
399 - Fund Balance Appropriated	1,249,853
General Fund Revenues - Grand Total	\$ 48,537,425

SECTION 2. FACILITIES FEES FUND (17)

The following is hereby appropriated in the Facilities Fees Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Operating Expenditures	80,090
Total Expenditures - Facilities Fees	\$ 80,090

It is estimated that the following revenues will be available in the Facilities Fees Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Investment Earnings	90
Court Fees	80,000
Total Revenues - Facilities Fees	\$ 80,090

SECTION 3. DEBT SERVICE FUND (20)

The following is hereby appropriated in the Debt Service Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account/Debt Satisfaction Date	Amount
USDA Debt Service Reserve – Animal Shelter	8,003
Lease Payment Principal – VGCC (2030)	66,000
Lease Payment Interest – VGCC (2030)	19,718
Lease Payment Principal – Animal Shelter (2047)	41,481
Lease Payment Interest – Animal Shelter (2047)	38,544
Lease Payment Principal – 2017 CIP Projects (2032)	87,000
Lease Payment Interest – 2017 CIP Projects (2032)	30,823
Total Expenditures - Debt Service	\$ 291,569

It is estimated that the following revenues will be available in the Debt Service Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Investment Earnings	700
Transfer from General Fund	290,869
Total Revenues - Debt Service	\$ 291,569

SECTION 4. DEBT SERVICE FUND - SCHOOLS (21)

The following is hereby appropriated in the Debt Service Fund - Schools for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account/Debt Satisfaction Date	Amount
Qualified Zone Academy Bonds - Schools (2022)	101,864
New Elementary School - Principal (2030)	650,000
New Elementary School - Interest (2030)	191,783
Qualified School Construction Bonds (2026)	261,622
Qualified School Construction Bonds – Interest (2026)	93,216
Qualified Zone Academy Bonds - Schools (2028)	123,155
Total Expenditures - Debt Service Schools	\$ 1,421,640

It is estimated that the following revenues will be available in the Debt Service Fund - Schools for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Transfer from Capital Reserve - Schools	1,421,640
Total Revenues - Debt Service Schools	\$ 1,421,640

SECTION 5. SOLID WASTE ENTERPRISE FUND (30)

The following is hereby appropriated in the Solid Waste Enterprise Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Operating Expenses - Solid Waste Management	2,674,457

Total Expenditures - Solid Waste Management	\$ 2,674,457
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It is estimated that the following revenues will be available in the Solid Waste Enterprise Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Solid Waste Household User Fees	2,126,000
Other Fees & Taxes	130,800
Grants	54,000
Miscellaneous Revenues	153,000
Contributions from General Fund (Salary Progression Plan)	673
Fund Balance Appropriated	209,984
Total Revenues - Solid Waste Management	\$ 2,674,457

SECTION 6. REAPPRAISAL RESERVE FUND (40)

The following is hereby appropriated in the Reappraisal Reserve Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Octennial Reserve - Year 2024	336,700
Total Expenditures - Reappraisal Reserve	\$ 336,700

It is estimated that the following revenues will be available in the Reappraisal Reserve Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Investment Earnings	5,500
Contributions from General Fund	40,600
Fund Balance Appropriated	290,600
Total Revenues - Reappraisal Reserve	\$ 336,700

SECTION 7. RETIREMENT/PENSION RESERVE (41)

The following is hereby appropriated in the Retirement/Pension Reserve Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Separation Allowance - Certified Law Enforcement Officer	313,000
Fringe Benefits - Retiree Insurance	0
Total Expenditures - Retirement/Pension Reserve	\$ 313,000

It is estimated that the following revenues will be available in the Retirement/Pension Reserve Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Investment Earnings	6,500
Fund Balance Appropriated	306,500
Total Revenues - Retirement/Pension Reserve	\$ 313,000

SECTION 8. SPECIAL FIRE TAX FUND (43)

The following is hereby appropriated in the Special Fire Tax Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Telephone/Postage (Verizon Service for MDTs)	12,000
Contracted Services - Financial Reviews	11,000
Tax Refunds	500
Capital Outlay (Radios purchase)	187,522
Administrative Fees	2,000
Kerr Lake/Golden Belt Merger - Substation Debt	33,900
Volunteer Assistance <i>*Includes reimbursable funding for up to two positions at all VFDs with exception of Epsom which gets one (15 total positions - Up to \$46,663 per position which includes VFD's portion of Fed and State withholding taxes and estimated Workman's Comp insurance)</i> <i>*Includes extra \$60,000 upfront (\$7,500 to each of 8 depts.) for purpose of starting pay to part-time positions</i> <i>**Funding provided for up to 60 hours worked Monday - Friday</i>	714,945
Contributions to Fire Departments (\$100,000 to all depts.)	900,000
Rotating Capital Proceeds (Kittrell)	30,000
Total Expenditures - Special Fire Tax	\$ 1,891,867

It is estimated that the following revenues will be available in the Special Fire Tax Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Fire Tax	1,613,096
Fund Balance Appropriated	278,771
Total Revenues - Special Fire Tax	\$ 1,891,867

SECTION 9. ROOM OCCUPANCY TAX (45)

The following is hereby appropriated in the Room Occupancy Tax Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Operating Expenses - Tourism Development	388,106
Total Expenditures - Room Occupancy Tax	\$ 388,106

It is estimated that the following revenues will be available in the Room Occupancy Tax Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Room Occupancy Tax Proceeds	371,411
Investment Earnings	1,850
Miscellaneous Revenues	14,200
Contributions from General Fund (Salary Progression Plan)	645
Total Revenues - Room Occupancy Tax	\$ 388,106

SECTION 10. ECONOMIC DEVELOPMENT PROJECT FUND (47)

The following is hereby appropriated in the Economic Development Project Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Legal fiscal Cost	9,570
Contracted Services	290,225
Special Projects	227,580
Contingency	192,832
Construction and Renovation	1,928,323
Total Expenditures - Economic Dev. Project Fund	\$ 2,648,530

** Legal Fiscal Cost, Contracted Services, Contingency, and Construction and Renovation line items are associated with the HVIP Phase 3 Project.*

It is estimated that the following revenues will be available in the Economic Development Project Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Middleburg Loan Payback	3,600
TNCP Repayment	113,731
Lease Proceeds	110,249
NC Ready Site Grant	2,420,950
Fund Balance Appropriated	0
Total Revenues - Economic Development Project Fund	\$ 2,648,530

SECTION 11. CAPITAL RESERVE FUND - SCHOOLS (60)

The following is hereby appropriated in the Capital Reserve Fund - Schools for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Special Projects	418,663
Transfer to General Fund - Capital Outlay (Schools)	807,000
Transfer to Debt Service - Fund 21 (School Debt)	1,421,640
Total Expenditures - Capital Reserve Fund - Schools	\$ 2,647,303

It is estimated that the following revenues will be available in the Capital Reserve Fund - Schools for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Investment Earnings	12,000
QSCB Interest Reimbursement	93,216
Lottery Proceeds	384,776
½ Sales Tax - 30% Schools	863,130
½ Additional Sales Tax Schools	1,294,181
Total Revenues - Capital Reserve Fund - Schools	\$ 2,647,303

SECTION 12. CAPITAL RESERVE FUND - GENERAL (61)

The following is hereby appropriated in the Capital Reserve Fund - General for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Special Projects	656,923
<i>Total Expenditures - Capital Reserve Fund - General</i>	\$ 656,923

It is estimated that the following revenues will be available in the Capital Reserve Fund - General for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Investment Earnings	3,500
Transfer from General Fund	653,423
<i>Total Revenues - Capital Reserve Fund - General</i>	\$ 656,923

SECTION 13. EMERGENCY TELEPHONE SYSTEM - WIRELESS FUND (71)

The following is hereby appropriated in the Emergency Telephone System - Wireless Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Emergency Communications	132,685
Transfer to General Fund - 911 Addressing/Data Base	56,150
Capital Outlay	505,731
<i>Total Expenditures - Emergency Telephone System - Wireless Fund</i>	\$ 694,566

It is estimated that the following revenues will be available in the Emergency Telephone System - Wireless Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

B. Revenues Anticipated:

Account	Amount
Investment Earnings	9,500
Surcharge - 911 ETS Funds	593,071
Fund Balance Appropriated	91,995
<i>Total Revenues - Emergency Telephone System - Wireless Fund</i>	\$ 694,566

SECTION 14. CONTRIBUTIONS FROM GENERAL FUND TO OTHER FUNDS

(These monies are transferred from the General Fund to other funds and are *deducted* in final computations inasmuch as they are included in other funds.)

Other Funds (10-696)	Amount
Debt Service (20)	290,869
Reappraisal Reserve (40)	40,600
Capital Reserve - Schools (60) Sales Tax Proceeds	2,157,311
Capital Reserve - General (61)	653,423
Solid Waste (30)	673
Room Occupancy Tax (45)	645
<i>Total Contributions to Other Funds</i>	\$ 3,143,521

SECTION 15. TOTAL BUDGET

<i>GRAND TOTAL EXPENDITURES AUTHORIZED</i>	\$ 59,438,655
<i>GRAND TOTAL REVENUES ANTICIPATED</i>	\$ 59,438,655

SECTION 16. BUDGET SUMMARY

Fund	Amount
(10) General Fund	48,537,425
(17) Facilities Fees Fund	80,090
(20) Debt Service Fund	291,569
(21) Debt Service - Schools Fund	1,421,640
(30) Solid Waste Enterprise Fund	2,674,457
(40) Reappraisal Reserve Fund	336,700
(41) Retirement/Pension Reserve Fund	313,000
(43) Fire Tax Fund	1,891,867
(45) Room Occupancy Tax Fund	388,106
(47) Economic Development Project Fund	2,648,530
(60) Capital Reserve - Schools Fund	2,647,303
(61) Capital Reserve - General Fund	656,923
(71) Emergency Telephone System Fund	694,566
Budget Subtotal	62,582,176
Less: Contributions from General Fund to Other Funds	-3,143,521
Budget Grand Total	\$ 59,438,655

SECTION 17. PUBLIC SCHOOLS

A. Capital Outlay

Appropriations to Capital Outlay - Schools are allocated by project pursuant to NCGS 115C-419B. Any amendments that increase or decrease expenditures among line items within the Capital Outlay appropriation by more than ten percent (10%) from the amount contained in this Budget Ordinance or by subsequent action must receive prior approval by the Board of Commissioners. The reserved amount will be distributed upon receipt and approval of school projects by the Board of County Commissioners. No Capital Outlay funds may be expended until itemization of such funds is approved by the Board of Commissioners.

Account	Amount
Capital Outlay	425,000
Activity Buses (2)	192,000
Technology Upgrades	190,000
Total Capital Outlay	\$ 807,000

B. Current Expense

Account	Amount
Current Expense (\$1,230,000 earmarked for teacher supplements)	8,432,440
Total Current Expense - Public Schools	\$ 8,432,440

Total Capital Outlay and Current Expense:

Account	Amount
Total Public School Appropriation (Excluding Bonds and Long-Term Indebtedness)	\$ 9,239,440

SECTION 18. TOURISM DEVELOPMENT

The County of Vance established a Tourism Development Authority, effective January 1, 2002. Room Occupancy Tax proceeds generated from the six percent (6%) tax are controlled by the Vance County Tourism Development Authority, with fiscal accounting of such funds performed by the County Finance Director. Such funds are included in this budget ordinance for accounting purposes although under the direct control of the Tourism Development Authority.

SECTION 19. MILEAGE REIMBURSEMENT RATE

The County reimbursement for private vehicle mileage expense in the conduct of official business is set at the standard mileage rate issued by the Internal Revenue Service.

SECTION 20. METHOD OF LEVY

The tax levy is based on the single levy method. Under this method all taxes are levied for the General Fund, except the Special Fire Tax, which in turn will generate the required revenues in other funds through contributions to those funds. Other revenues will also be received in the General Fund and will comprise the Contributions to Other Funds.

SECTION 21. TAX RATES

A. Property Tax

An ad valorem tax rate of 89.0¢ per \$100.00 at full valuation is hereby set as the official tax rate for the County of Vance for the fiscal year beginning July 1, 2019 and ending June 30, 2020. This rate is based on a total estimated valuation of \$2,702,380,982 (99% of base) and an estimated rate of collection of 97.33% which is the actual tax collection rate for FY 2017-18.

B. Special Fire Tax

The official tax rate for the defined Special Fire Protection Service District in Vance County will be 8.9¢ per \$100 of full valuation for the fiscal year beginning July 1, 2019 and ending June 30, 2020. This rate is based on a total estimated valuation of \$1,822,360,698 (99% of base) with an estimated collection rate of 97.33% which does not exceed the actual tax collection rate for FY 2017-18 for the Special Fire Protection Service District.

C. Solid Waste User Household Fee

There is hereby levied for the fiscal year beginning July 1, 2019 and ending June 30, 2020 a Solid Waste Household User Fee (SWHUF) of \$112.00 per household. The SWHUF shall be assessed on all residential dwelling units in Vance County including those located inside the city/town limits of Henderson, Kittrell, and Middleburg.

SECTION 22. FEES FOR SERVICES

Charges for services and fees by Vance County departments, excluding those established by State Statute, are levied in the amounts set forth in the attached Fee Schedule (Attachment 1). Charges for services and fees are subject to change during the fiscal year by action of the Vance County Board of Commissioners.

SECTION 23. COUNTY MANAGER AUTHORITY

The County Manager is hereby authorized to execute contractual documents for services, goods, or construction repairs valued at \$10,000 or less as long as expenditures are within budgeted appropriations. All applicable federal, state, and/or local purchasing and procurement regulations must be followed.

SECTION 24. DISPENSATION

Copies of this Budget Ordinance shall be furnished to the Finance Director and to the County Manager as Budget Officer of Vance County for direction in executing official duties as prescribed by law.

Adopted this 17th day of June, 2019.

Archie B. Taylor, Jr. (signed)
Archie B. Taylor, Jr., Chairperson
Vance County Board of Commissioners

Salary Progression Policy. County Manager Jordan McMillen presented the Salary Progression Policy for the board’s approval. He explained that this is included in the budget.

Motion was made by Commissioner Thomas S. Hester, Jr., seconded by Commissioner Carolyn Faines, vote unanimous, to approve the Salary Progression Policy as presented.

Water District Board

Chairman Archie B. Taylor, Jr. called the Water District Board to order for the purpose of adopting the FY 2019-20 Water District Budget.

Motion was made by Commissioner Thomas S. Hester, Jr., seconded by Commissioner Gordon Wilder, vote unanimous, to approve the FY 2019-20 Water District Budget as presented.

**Vance County Water District
FY 2019-20 Budget Ordinance**

BE IT ORDAINED by the Board of the Vance County Water District, meeting in special session this 17th day of June, 2019, that revenues and expenditures are hereby appropriated for the operation of Vance County water district and its related activities for the fiscal year beginning July 1, 2019, and ending June 30, 2020, according to the following summaries and schedules:

SECTION 1. WATER ENTERPRISE FUND (16)

The following is hereby appropriated in the Water Enterprise Fund for the fiscal year beginning July 1, 2019 and ending June 30, 2020:

A. Expenditures Authorized:

Account	Amount
Operating Expenditures	701,089
Debt Service	541,313
Total Expenditures - Water Fund	\$ 1,242,402

It is estimated that the following revenues will be available in the Water Enterprise Fund for the fiscal year beginning July 1, 2018 and ending June 30, 2019:

B. Revenues Anticipated:

Account	Amount
Water Fees	925,250
Miscellaneous Revenues	31,204
Transfer from General Fund	285,948
Appropriated Fund Balance	0
Total Revenues - Water Fund	\$ 1,242,402

SECTION 2. FEES FOR SERVICES

Charges for services and fees by the Vance County Water District, excluding those established by State Statute, are levied in the amounts set forth in the attached Fee Schedule (Attachment 1). Charges for services and fees are subject to change during the fiscal year by action of the Vance County Water District Board.

SECTION 3. DISPENSATION

Copies of this Budget Ordinance shall be furnished to the Finance Director and to the County Manager as Budget Officer of the Vance County Water District for direction in executing official duties as prescribed by law.

Adopted this 17th day of June, 2019.

Archie B. Taylor, Jr. (signed)
Archie B. Taylor, Jr., Chairperson
Vance County Water District Board

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As there was no further business, at 6:15 p.m., motion was made by Commissioner Thomas S. Hester, Jr., seconded by Commissioner Gordon Wilder, vote unanimous, that the meeting be adjourned.

Approved and signed August 5, 2019.

Archie B. Taylor, Jr. (signed)
Archie B. Taylor, Jr., Chairman